Principal Financial Group®

Due Diligence Process 2016 Year in Review

This 2016 year-in-review provides an additional resource for plan sponsors to save for their records, providing further support that they are managing their fiduciary obligations for monitoring the Sub-Advised Investment Options[1] offered through their retirement plans.

Few retirement plan service providers offer the breadth of services that help plan sponsors manage their fiduciary responsibilities. We do.

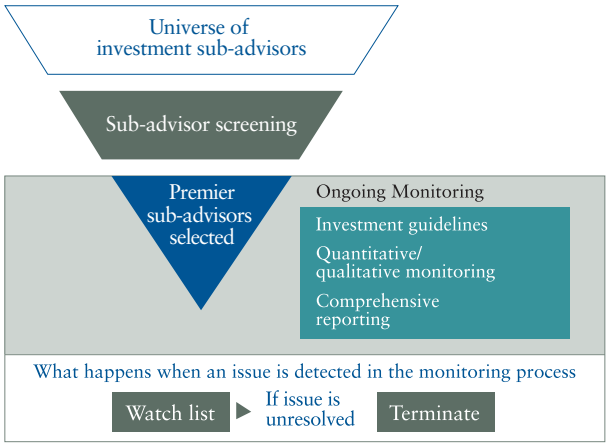
Principal Life Insurance Company (Principal Life) has assumed the obligations of a fiduciary [as defined in §3(21) of ERISA][2] for acting prudently in:

- making Sub-Advised Investment Options available to Qualified Retirement Plan fiduciaries generally, for the fiduciary to select one or more Sub-Advised Investment Options for the plan; and
- the ongoing monitoring of Sub-Advised Investment Options and in continuing to make these options available to Qualified Retirement Plan fiduciaries generally, for the fiduciary to select one or more Sub-Advised Investment Options for the plan.

Principal Life is an investment manager [as defined in §3(38) of ERISA and stated in its group annuity contracts] solely with respect to assets held in its Separate Accounts and, as a result, is a fiduciary only with regard to the prudent selection, monitoring, and retention of the portfolio managers for Separate Accounts of Principal Life. Principal Life makes these Separate Accounts available to certain retirement plan fiduciaries, for the fiduciary to select one or more of these Separate Accounts for the plan.[3]

Our Due Diligence Process[4]

The Principal due diligence process provides a rigorous and disciplined framework for identifying, selecting and monitoring premier investment management firms as sub-advisors within each asset class and investment style for our Sub-Advised Investment Options.



[1]Sub-Advised Investment Options include Separate Accounts available through a group annuity contract with the Principal Life Insurance Company or mutual funds available through the Principal Funds, Inc.

[2]Because these actions described above do not give Principal Life any authority or control over the management of plan assets or constitute the provision of investment advice, they are not fiduciary activities. That said, Principal Life performs these services in a prudent, diligent and professional manner and stands behind its actions as if it were a fiduciary under ERISA §3(21).

[3]In addition, Principal Trust Company serves as an investment manager [as defined in §3(38)] with respect to assets held in its Principal Trust℠ Target Date Collective Investment Funds.

[4]The due diligence process and reporting are services provided by Principal Life Insurance Company, a member of the Principal Financial Group®.

Not FDIC Insured

May Lose Value • Not a Deposit • No Bank Guarantee
Not Insured by any Federal Government Agency

GIVING YOU OPTIONS: CHOICE AND FLEXIBILITY

The Principal offers plan sponsors investment option choice and flexibility that's hard to find with other service providers. We provide access to an attractive mix of more than 85 diversified Sub-Advised Investment Options managed by more than 50 premier sub-advisors.[5]

Beyond our diversified Sub-Advised Investment Options, we offer additional choice and flexibility through our Mutual Fund Network. We have more than 4,500 mutual funds on our Mutual Fund Network from more than 215 fund families, with access to more than 20,000 additional mutual funds through the National Securities Clearing Corporation (NSCC). For ultimate flexibility, we offer the Principal Self-Directed Brokerage Account℠.

UNIQUE CHOICES THROUGH DISCIPLINED SELECTION

We provide access to a wide range of retirement-focused Sub-Advised Investment Options managed by sub-advisors selected through our due diligence process. The managers we hire demonstrate:

- A stable organization with seasoned investment professionals and extensive research resources
- A defined and repeatable investment process
- Consistent performance

Past performance is no guarantee of future results.

No investment strategy, such as diversification or asset allocation, can guarantee a profit or protect against loss in periods of declining value.

New Sub-Advisors Added to Our Platform in 2015

Sub-Advisor Hired	Sub-Advised Investment Option	Month Hired	Reason for Hire
Analytic Investors	Global Diversified Income	March	Replaced Guggenheim
Victory Capital	MidCap Value I	June	Replaced Goldman Sachs
SoundPoint Capital	Global Multi-Strategy	June	To provide additional diversification
Principal℠	Global Diversified Income	June	Guggenheim on the high-yield sleeve
Principal℠	Global Diversified Income	June	Added opportunistic mortgage-backed securities (MBS) sleeve
Ascend Capital, LLC	Global Multi-Strategy	September	Equity long/short investment sleeve

CONTINUOUS MONITORING TO STAY ON COURSE

After selecting premier managers for our Sub-Advised Investment Options, we employ comprehensive and continuous monitoring to help ensure they continue to meet our criteria. Our investment team draws upon years of industry experience and utilizes an array of sophisticated tools to aid in this process.

Dedicated Investment Team of The Principal	Sophisticated Analysis
Analysts assigned to specific sub-advisors/asset classes	Wilshire Compass | FactSet Zephyr Style Advisor Morningstar®
Average more than 18 years industry experience	
Perform comprehensive quarterly review	
Held 147 face-to-face manager visits in 2016	

[5]The term "sub-advisors" used here may also be referred to as "manager" throughout this piece.

TAKING ACTION WHEN NEEDED

Of course, part of our rigorous monitoring process includes taking action when a problem surfaces. We closely monitor each sub-advisor for our Sub-Advised Investment Options, based on both qualitative and quantitative criteria, to detect issues as early as possible. When we detect an issue that raises significant concern, we first place sub-advisors on our Watch List for closer monitoring.[6] If the issue remains unresolved, the sub-advisor is terminated.

Monitoring activity in 2016 for our Sub-Advised Investment Options:

- 19 investment bulletins were issued to inform plan sponsors of events affecting our Sub-Advised Investment Options and to help them better manage their fiduciary responsibility.
- 6 investment options were placed on the quantitative Watch List.
- 2 investment options were removed from the quantitative Watch List and restored to acceptable status.

Since the inception of our due diligence monitoring process, 33 sub-advisors have been terminated: 13 for qualitative reasons and 20 for quantitative reasons.

Terminations: Historical Perspective[7]

Sub-advisor Terminated	Sub-Advised Investment Option	Month/Year of Change	Reason for Termination
Columbus Circle Investors	SmallCap Growth I	September 2016	Quantitative - Consistent relative underperformance
Goldman Sachs	MidCap Value I	June 2016	Quantitative - Consistent relative underperformance
Guggenheim	Global Diversified Income	March 2016	Qualitative - Concern over lack of transparency
Jennison	Diversified Real Asset	December 2015	Quantitative - Consistent relative underperformance
Dimensional Fund Advisors	LDI Intermediate Duration	August 2015	Transitioned to a standalone Separate Account
PIMCO	LDI Extended Duration	July 2015	Transitioned to a standalone Separate Account
Montag & Caldwell	LargeCap Growth II	December 2014	Quantitative – Consistent relative underperformance
PIMCO	Global Multi-Strategy	October 2014	Qualitative – Concern over the departure of key portfolio management personnel
Schroders	International I	June 2014	Quantitative – Consistent relative underperformance
Fidelity	International I	June 2014	Quantitative – Consistent relative underperformance
Turner	MidCap Growth III	January 2014	Quantitative – Consistent relative underperformance
Jacobs Levy	MidCap Growth III	January 2014	Quantitative – Consistent relative underperformance
Principal Global Investors	Global Diversified Income *(Emerging Market Debt)*	January 2012	Qualitative – Concern over the departure of key portfolio management personnel
AllianceBernstein	LargeCap Value III	December 2011	Quantitative – Consistent relative underperformance
Mellon Capital Management	MidCap Growth III	November 2011	Quantitative – Consistent relative underperformance
Essex	SmallCap Growth II	November 2011	Quantitative – Consistent relative underperformance
UBS	LargeCap Value I	June 2011	Quantitative – Consistent relative underperformance
AXA Rosenberg	International Value I	August 2010	Qualitative – Action taken due to concerns stemming from AXA coding error and changes in key investment personnel
UBS	SmallCap Growth II	July 2009	Quantitative – Consistent relative underperformance
Ark	SmallCap Value III	January 2009	Qualitative – Due to firm's decision to dissolve
Mazama	SmallCap Growth III	January 2009	Quantitative – Consistent relative underperformance
Principal Global Investors	Inflation Protection	December 2008	Quantitative – Consistent relative underperformance
Neuberger Berman	MidCap Value II	October 2008	Quantitative – Consistent relative underperformance
Fidelity (Pyramis Global Adv)	MidCap Growth II	December 2007	Qualitative – Concern over the departure of key portfolio management personnel

Chart continued on next page.

[6]Investment options are placed on the Watch List for no more than 12 months. If the due diligence process determines removal from the Watch List is appropriate, but that additional monitoring is necessary, the investment option may be placed on the cautionary status of Probation until the performance of the relevant manager(s) improves.

[7]Some of the investment options listed here may no longer be offered. We are providing this listing as a chronology of sub-advisors terminated since the inception of the due diligence process of Principal Life.

Terminations: Historical Perspective[7] *(continued)*			
Sub-advisor Terminated	**Sub-Advised Investment Option**	**Month/Year of Change**	**Reason for Termination**
Wellington Management	LargeCap Blend I *(merged into LargeCap S&P 500 Index in March 2011)*	November 2006	Quantitative – Consistent relative underperformance
GMO	LargeCap Growth	September 2006	Quantitative – Consistent relative underperformance
Morgan Stanley	LargeCap Growth I	August 2004	Qualitative – Concern over the departure of key portfolio management personnel
Federated	LargeCap Blend	March 2004	Qualitative – Action taken due to concerns over SEC investigation of firm permitting market timing and/or after-hours trading
Putnam	LargeCap Growth	February 2004	Qualitative – Action taken due to concerns over SEC investigation of firm permitting market timing and/or after-hours trading
Morgan Stanley	MidCap Blend	May 2003	Quantitative – Consistent relative underperformance; investment option closed
Neuberger Berman	SmallCap Growth I	March 2003	Qualitative – Concern over the departure of key portfolio management personnel
Duncan Hurst	LargeCap Growth	August 2002	Qualitative – Concern over the departure of key portfolio management personnel
Principal Global Investors	LargeCap Blend	July 2002	Quantitative – Consistent relative underperformance
Federated	SmallCap Growth II	April 2002	Qualitative – Concern over firm's strategic decision to dissolve current portfolio management team

THE GOAL: SOLID LONG-TERM PERFORMANCE

The driving goal of our robust process is *long-term* investment results, which requires a long-term perspective. One way to measure the effectiveness of our program is to compare the performance of our Sub-Advised Investment Options against their respective Morningstar categories. During the tumultuous 18-month period in the economy and markets prior to 2009, our performance in this regard dipped as investors generally ignored strong fundamentals. As of December 31, 2016, our platform has experienced strong performance with 73 percent of our Sub-Advised Investment Options outperforming their peers over a three-year time period and 86 percent outperforming peers over five years.

Percentage of Sub-Advised Investment Options Outperforming Morningstar Peer Group Medians[8]										
	2007	**2008**	**2009**	**2010**	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**
5-year	67	63	61	50	60	60	71	87	93	86
3-year	66	48	47	40	62	93	77	85	88	73
1-year	46	39	39	75	73	83	64	87	86	48
All figures as of December 31 of the respective year.										

CONTINUED COMMITMENT IN 2017

We look forward to continuing our commitment to due diligence in 2017. If you have questions about our due diligence process, contact your financial professional or representative of Principal.

[8]Sub-Advised Investment Options outperform peer group medians when performance exceeds 50% of peers in their respective Morningstar categories. Analysis performed using I shares and excludes index, owned real estate and stable value investment options. Other rate level or share class performance may vary due to different expenses. Past performance is no guarantee of future results. As of December 31, 2016, 76% of Sub-Advised Investment Options outperformed their Morningstar peers on a 10-year basis, 86% outperformed on a 5-year basis, 73% outperformed on a 3-year basis, and 48% outperformed on a 1-year basis. For performance comparisons of all Sub-Advised Investment Options, contact your representative of The Principal. Although the investment options' rating(s) may be higher compared to its peers, the performance of the investment option(s) may be negative. The investment option(s), when redeemed, may be worth less than the principal invested. Current performance for the investment option(s) may be found at principal.com/rates.htm.

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ONGOING COMMUNICATION IS KEY

Our manager research team has access to investment sub-advisors that many competitors simply would not have. It's crucial that we actively communicate with these sub-advisors to help ensure performance standards are met and to identify any warning signs that they may be in trouble. Our ongoing dialogue with sub-advisors includes face-to-face meetings and frequent conference calls to discuss business issues, investment strategy and performance results. In 2016 alone, our due diligence team spent **more than 875 hours** in contact with these sub-advisors and conducted **more than 145 face-to-face visits,** including due diligence meetings, informal meetings and periodic reviews of our sub-advisors' compliance procedures.

2016 Annual Due Diligence Meetings with Our Sub-Advisors

A portion of our face-to-face visits included annual due diligence meetings. These meetings included members of the portfolio management team, relationship managers, or senior management of the sub-advisory firm. Many sub-advisors manage more than one investment option. In these cases, multiple strategies were discussed in a series of meetings. These meetings were held in various locations throughout the country.

AB	May
American Century Investments®	October
Analytic Investors	March
Baird	August
Barrow, Hanley, Mewhinney & Strauss, LLC	October
BlackRock	June
Brookfield	July
Brown Advisory Thoughtful Investing.	June
Causeway	October
Cliffwater LLC	February
Columbus Circle Investors	August
Credit Suisse	May
Dodge & Cox	May
Dimensional	October
Edge Asset Management	September
Emerald Advisers, Inc.	June
FFTW	May
First State Investments	December
Gotham Asset Management	March
J.P.Morgan Asset Management	September
Logan Circle Partners	August
Los Angeles Capital	July/October
Macquarie	December
Mellon Capital	December
Morley Financial Services, Inc.	September
Neuberger Berman	July
Origin Asset Management	October
Passport Capital	January
Pictet 1805	November
Post Advisory Group	December
Principal Global Investors	September
Principal Real Estate Investors	November
Reaves Asset Management	August
Sawgrass Asset Management, L.L.C.	March
Sirios Capital Management	March
Spectrum	August
Stone Harbor Investment Partners	May
Symphony Asset Management	December
T.Rowe Price Invest with Confidence	June
Three Bridges Capital	March
Tortoise Capital Advisors L.L.C.	September
Vaughan Nelson Investment Management, L.P.	October
Victory Capital	September
Wellington Management®	July
Westwood Management®	October
William Blair	July

WE'LL GIVE YOU AN EDGE®

Carefully consider the Fund's objectives, risks, charges, and expenses. Contact your financial professional or visit principal.com for a prospectus, or summary prospectus if available, containing this and other information. Please read it carefully before investing.

Before directing retirement funds to a separate account, investors should carefully consider the investment objectives, risks, charges and expenses of the separate account as well as their individual risk tolerance, time horizon and goals. For additional information contact us at 800.547.7754 or by visiting principal.com.

Investing involves risk, including possible loss of principal.

Asset allocation and diversification does not ensure a profit or protect against a loss. **Equity** investment options involve greater risk, including heightened volatility, than fixed-income investment options. **Fixed-income** investments are subject to interest rate risk; as interest rates rise their value will decline. International and global investing involves greater risks such as currency fluctuations, political/social instability and differing accounting standards. These risks are magnified in ***emerging markets*. Small and mid-cap stocks** may have additional risks including greater price volatility. Fixed-income and asset allocation investment options that invest in mortgage securities are subject to increased risk due to real estate exposure.

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The term "manager or "investment manager" may refer to an investment advisor or sub-advisor of an underlying mutual fund.

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